

CONSOLIDATION OF CONTRACT REQUIREMENTS DETERMINATION FOR FORT CAVAZOS COMMERCIAL DOORS

(As prescribed by FAR 7.107-2 and AFARS 5107.107-2)

RATIONALE

1. Consolidation may provide substantial benefits to the Government. However, because of the potential impact on small business participation, before conducting an acquisition that is a consolidation of requirements with an estimated total dollar value exceeding \$2 million, a written determination shall be made that the consolidation is necessary and justified in accordance with 15 U.S.C. 657q, after ensuring that--

- (a) Market research has been conducted;
- (b) Any alternative contracting approaches that would involve a lesser degree of consolidation have been identified;
- (c) The determination is coordinated with the agency's Office of Small Disadvantaged Business Utilization or the Office of Small Business Programs;
- (d) Any negative impact by the acquisition strategy on contracting with small business concerns has been identified; and
- (e) Steps are taken to include small business concerns in the acquisition strategy.

2. Introduction: MICC Fort Cavazos plans to solicit offers for the Ft Cavazos Commercial Door maintenance and repair requirement and has conducted market research that demonstrates consolidation of this procurement to be both necessary and justified. FAR 2.102 defines consolidation as

(1) a solicitation for a single contract, a multiple-award contract, a task order, or a delivery order to satisfy -- (i) two or more requirements of the Federal agency for supplies or services that have been provided to or performed for the Federal agency under two or more separate contracts, each of which was lower in cost than the total cost of the contract for which offers are solicited; or (ii) requirements of the Federal agency for construction projects to be performed at two or more discrete sites; or;

(2) separate contract as used in this definition, means a contract that has been performed by any business, including small and other than small business concerns.

3. Description of the Procurement Action:

This procurement will be a Firm Fixed-Price Contract to consolidate two existing requirements at the Fort Cavazos installation. The contract covers services for the preventative maintenance, repair, and replacement of 3,375 overhead doors,

comprising twelve types of overhead doors, as well as 135 automatic sliding doors across the installation. The proposed period of performance is 6/30/25 through 6/30/29, base year plus four option periods. The scope includes routine semiannual maintenance and addressing Direct Maintenance Orders (DMOs) issued by the Directorate of Public Works (DPW) on a case-by-case basis for repairs or replacements.

This competitive 8(a) procurement is advantageous to the government as it promotes participation in the 8(a) program, fostering growth within the small business community. A sources sought has already identified five potential 8(a) vendors. The estimated contract value, encompassing the base period and four option periods, is \$14,999,088.74. The designated NAICS code for this procurement is 238290 – Other Building Equipment Contractors.

4. Results of Market Research:

Market research, including a sources sought conducted on SAM.GOV, identified five 8(a) vendors interested in submitting offers for this requirement. Capability briefs indicate that multiple vendors possess the expertise to handle both overhead doors and automatic sliding doors. These briefs were reviewed by the requiring activity, and preliminary evaluations provide substantial evidence that the five vendors are capable of fulfilling the requirement. Additionally, the Independent Government Estimate (IGE) revealed an anticipated cost savings of at least \$300,000 over five years for the automatic door portion of the requirement. Overall, market research has concluded that consolidating this requirement offers significant advantages, aligning with government objectives and supporting small business goals.

A summary of the acquisition history on the two prior contracts is as follows:

Overhead Doors

- Contractor Name: VALCORP ENTERPRISES LLC
- CAGE Code: 7CD53
- Small Business Socioeconomic Categories of the Awardee: Veteran Owned Organization, Service Related Disabled Veteran Owned Business
- PIID: W91151-22-D-0010 W9115123F0239
- NAICS: 811310
- Size Standard: 12.5M
- Contract Type: Firm Fixed Price
- Period of Performance Start Date: 8/1/2023
- Period of Performance End Date: 7/31/2024
- Total Contract Value: \$2,568,848.12
- Subcontracting History: N/A
- Additional Details: N/A

Automatic Doors

- Contractor Name: Avalon Contracting, INC.
- CAGE Code: 1KWM1
- Small Business Socioeconomic Categories of the Awardee: Small Business

- PIID: W91151-14-C-0033
- NAICS: 238290
- Size Standard: \$14M
- Contract Type: Firm Fixed Price
- Period of Performance Start Date: 7/1/2014
- Period of Performance End Date: 6/30/2019
- Total Contract Value: \$326,746.92
- Subcontracting History: N/A
- Additional Details: N/A

5. Alternative Contracting Approaches and Rationale for Rejection:

Alternative contracting methods, including maintaining this acquisition as two separate requirements, were evaluated but found to be less advantageous to the government based on market research findings. Consolidation is projected to deliver a direct cost savings of \$300,000 on the requirement over five years, while also significantly reducing contract award and administrative costs. Furthermore, combining these requirements streamlines procurement processes, minimizes duplication of effort, and enhances efficiency in contract administration. Consolidation also aligns with the government's goals to maximize value, reduce overhead, and support small business participation through the 8(a) program. This approach ensures optimal use of resources and strengthens the government's ability to meet mission requirements effectively.

6. Consolidation Benefit Analysis:

Market research has determined that consolidating these requirements offers significant advantages compared to awarding them as two separate procurements. As noted, five 8(a) vendors have expressed their intent to submit proposals, providing adequate competition to the procurement. Furthermore, the consolidation is expected to result in an estimated direct cost savings of \$300,000 over five years, alongside reductions in administrative costs associated with contract award processes. This approach will also streamline procurement and contract administration, saving valuable time. Importantly, the consolidation is expected to inject an additional \$300,000 into the 8(a) program, potentially benefiting the program over the next five years.

7. Bundling:

This action does not include bundling.

8. Considerations, Facts, Reasoning Supporting the Determination:

Given the high dollar value and urgency of this requirement, it is deemed highly significant. As such, comprehensive planning and coordination with all stakeholders have been conducted throughout the acquisition planning phase.

9. Summary:

In summary, there is adequate market research to justify the consolidation of these requirements. The consolidation is estimated to save the government over \$300,000 in direct labor on the contract over five years, along with an administrative cost savings to contracting processes.

DETERMINATION

Based on the foregoing rationale, I hereby determine, pursuant to the Federal Acquisition Regulation Supplement 7.107-2 and Army Federal Acquisition Regulation Supplement 5107.107, that the consolidation of the requirements for "Overhead and Automatic Doors" is both necessary and justified and will serve the best interests of the Government.

Submitted by:

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